Stock Market Investing 101

Module 2 Study Guide

Fundamental Analysis

This guide covers every lesson of the module, using only words and figures from the lessons themselves. Work through it after watching the lessons, then use the checklist at the end to test yourself.

Lesson 1: Reading a Company's Financial Statements

In this lesson: The Three Financial Reports; Finding Revenue & Profit; Balance Sheet & Debt; C

Key points

- Revenue and profit reveal earning power on the Income Statement
- Total debt and equity are measured on the Balance Sheet
- Cash Flow Statement verifies physical money moving through the business

Examples from the lesson

- I am so glad you joined us for Stock Market Investing 101.
- We are starting Module 2, Fundamental Analysis, and today’s focus is Lesson 1: Reading a Company's Financial Statements.
- In Module 1, we covered how the Trinidad and Tobago Stock Exchange works and how to set up your brokerage account.
- To make smart decisions, you need to know how to read three basic reports: the Income Statement, the Balance Sheet, and the Cash Flow Statement.
- In one financial year, Island Bakes earned TT$ 10,000,000 in Revenue from selling bread, pastries, and doubles across its branches.
- Island Bakes had to pay TT$ 6,000,000 for flour, butter, staff wages, electricity, and lease payments for their storefronts.
- After subtracting all operating costs and taxes, Island Bakes recorded a final Profit of TT$ 4,000,000.
- Continuing with Island Bakes Limited, on December 31st, their balance sheet shows total assets of TT$ 12,000,000.
- On the other side of the balance sheet, Island Bakes has total Debt of TT$ 5,000,000, which includes a commercial bank loan and unpaid supplier bills.
- Subtracting the TT$ 5,000,000 in debt from their TT$ 12,000,000 in assets leaves TT$ 7,000,000 in total shareholder equity.
- For Island Bakes, after paying suppliers and collecting cash from sales, their Net Cash Flow from operations was TT$ 3,500,000.
- Building the habit of checking these four figures—revenue, profit, debt, and cash flow—protects your hard-earned money.

- Next up is Lesson 2: Key Ratios Every Investor Should Know.

Lesson 2: Key Ratios Every Investor Should Know

In this lesson: Measure Price vs Earnings; Calculate Dividend Cash Yield; Evaluate Financial Ris

Key points

- P/E ratio measures share cost against earnings
- Dividend Yield indicates cash income return
- Debt-to-Equity and ROE reveal risk and management skill

Examples from the lesson

- I’m your instructor, and you are tuning in to Stock Market Investing 101, Module 2: Fundamental Analysis.
- In Lesson 1, we looked at reading a company's financial statements so you can spot where the money enters and leaves a business.
- Today, in Lesson 2, "Key Ratios Every Investor Should Know," we are going to build on those statements by learning how to calculate and interpret four essential ratios: Price-to-Earnings, Dividend Yield, Debt-to-Equity, and Return on Equity.
- The P/E ratio tells you how much investors are paying for every TT$1 of profit the company generates.
- You calculate this by taking the Annual Dividend Per Share and dividing it by the Share Price, then multiplying by 100.
- To calculate ROE, divide Net Income by Total Shareholders' Equity and multiply by 100.
- Suppose this company’s shares trade at TT$20.00 each, and it reports Earnings Per Share of TT$2.00 with an Annual Dividend Per Share of TT$1.00.
- On its balance sheet, the company lists Total Debt of TT$5,000,000, Shareholders' Equity of TT$10,000,000, and annual Net Income of TT$1,500,000.
- First, let's calculate the P/E ratio by taking the TT$20.00 share price and dividing it by the TT$2.00 earnings per share, giving us a P/E ratio of 10.
- Next, for the Dividend Yield, we take the TT$1.00 dividend per share, divide it by the TT$20.00 share price, and get 5%.
- This means for every dollar invested, you earn 5 cents in annual dividend income.
- Moving to the financial health ratios, we divide Total Debt of TT$5,000,000 by Shareholders' Equity of TT$10,000,000 to get a Debt-to-Equity ratio of 0.5, showing moderate borrowing.
- Lastly, dividing Net Income of TT$1,500,000 by Shareholders' Equity of TT$10,000,000 gives us a Return on Equity of 15%.
- This shows management is generating a solid 15% return on invested capital.
- Understanding these four numbers helps you look past market excitement and analyze real value with confidence.
- In our next lesson, Lesson 3: "Judging Value and Business Quality," we will learn how to

combine these ratios to evaluate competitive advantages and determine if a stock is trading at a fair price.

Lesson 3: Judging Value and Business Quality

In this lesson: Identify economic moats; Distinguish quality from value; Calculate TT$ valuation

Key points

- Moats protect profits through durable advantages
- Valuation requires comparing ratios like P/E to peers
- Always look for a margin of safety before buying

Examples from the lesson

- I’m your instructor, and you are tuning in to Stock Market Investing 101.
- Today we are in Module 2, "Fundamental Analysis," for Lesson 3: "Judging Value and Business Quality."
- Now, we use those tools to answer two crucial questions: Does this company have a lasting advantage, and is the stock price reasonable?
- Why do customers keep passing three other food stalls or banks to stand in their line?
- But business quality is only half of the equation.
- TT Goods Limited currently trades at a stock price of TT$20.00 per share.
- Over the past twelve months, the company generated earnings per share of TT$2.00.
- That gives us a price-to-earnings ratio of 10 times earnings.
- The average P/E ratio for similar local consumer goods companies is 12 times earnings.
- Because TT Goods Limited trades at 10 times earnings while its quality peers trade at 12 times earnings, the stock appears to be trading at a reasonable valuation.
- You are paying TT$20.00 for TT$2.00 of reliable earnings, giving you a solid margin of safety relative to the industry average.
- Next time, we move into Module 3, where we will explore building and managing your stock portfolio for the long haul.

Recap checklist — can you say each one?

Lesson 1: Reading a Company's Financial Statements

- ☐ Revenue and profit reveal earning power on the Income Statement
- ☐ Total debt and equity are measured on the Balance Sheet
- ☐ Cash Flow Statement verifies physical money moving through the business

Lesson 2: Key Ratios Every Investor Should Know

- ☐ P/E ratio measures share cost against earnings
- ☐ Dividend Yield indicates cash income return
- ☐ Debt-to-Equity and ROE reveal risk and management skill

Lesson 3: Judging Value and Business Quality

- ☐ Moats protect profits through durable advantages
- ☐ Valuation requires comparing ratios like P/E to peers
- ☐ Always look for a margin of safety before buying